Licensing by the Back Door

The IRS's E-File Suitability Regime After *Loving* and *Loper Bright*

I. Introduction

Consider a certified public accountant who has prepared her neighbors' tax returns for twenty years. She is competent and she is licensed by her state board, but somewhere in her past is a blemish the federal government dislikes — an old conviction, a stretch of thin credit, a year her own return was filed late. None of that bears on whether she can prepare an accurate return, and none of it makes her a representative of anyone "before" the Internal Revenue Service. Yet when she applies for the credential she now needs to file her clients' returns electronically — and electronic filing is, today, the only lawful way she can file them at scale — the IRS subjects her to a "suitability" examination of exactly those things, and it may turn her away.[1] She has been

1 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 8–9 (2023) (suitability check, including criminal-background, credit, and tax-compliance components, and grounds for denial). The scenario is not hypothetical in kind: in 2014 a CPA whose Electronic Filing Identification Number the IRS had suspended sued for its reinstatement, and the Service declined to defend the suit and settled rather than litigate its authority. *See Davis v. Internal Revenue Serv.*, No. 1:14-cv-00261 (N.D. Ohio 2014); Eric Kroh, *IRS Grip on Tax Preparers Will Weaken Without Legislation*, Law360 (Jan. 13, 2015); Linda Galler & Jay A. Soled, *AI and the Regulation of Tax Return Preparers*, 28 Fla. Tax Rev. 1, 27 & n.111 (2024) (noting the suit "le[ft] open the question of IRS authority to regulate EFIN holders").

screened for fitness to practice a trade, by an agency a federal court has squarely held may not license that trade. That is the subject of this Article.

The paradox is sharp, and it is the agency's own making. In *Loving v. IRS*, the D.C. Circuit held that the IRS lacks statutory authority to regulate the preparation of tax returns, because preparing and filing a return is not "practice . . . before the Department of the Treasury" within the meaning of 31 U.S.C. § 330.[2] The Service may not, *Loving* held, impose a character-and-competency licensing regime on return preparers; if anyone is to regulate that trade, it must be Congress.[3] And yet the IRS screens those same preparers for character, solvency, and fitness every day — not under the banner of Circular 230, which *Loving* closed to it, but as a condition of access to the electronic-filing system. So long as electronic filing was voluntary, the contradiction was latent: a screen on entry to a system one could decline was defensible as the administration of that system, not the licensing of a trade. The contradiction became live when electronic filing became mandatory. Once Congress and the Treasury made electronic filing compulsory for substantially all preparers, the suitability screen stopped being the price of a privilege and became the price of the trade itself — and the price of a trade is a license.

This Article's thesis is that the fitness components of the electronic-filing suitability regime — the criminal-history, credit, and professional-character screening of the people who prepare and file returns — are unlawful. They were lawful when electronic filing was a voluntary program, defensible as access control for a government information system the preparer was free to use or ignore. They became unlawful when the program became, in practical effect, mandatory, because a character-and-fitness screen that gates the only realistic channel for preparing and filing returns

2 *Loving v. IRS*, 742 F.3d 1013, 1015–16, 1018–21 (D.C. Cir. 2014); 31 U.S.C. § 330.

3 *Loving*, 742 F.3d at 1021–22.

is a license to practice that trade — precisely the authority *Loving* holds the IRS does not possess. *Loper Bright Enterprises v. Raimondo* removes the deference that might once have rescued the agency's contrary reading of its own power.[4] The decades of federal-state reliance the system induced make its silent expansion arbitrary under the Administrative Procedure Act. And the regime cannot even claim the fraud-prevention benefit it invokes, for the fraud it names runs through the filing channel and around the professional screens. The Article argues for invalidation of the fitness components, leaving the IRS only the genuine system-security functions an electronic filing system actually requires.

The argument proceeds in eight steps. Part II describes the suitability regime as the IRS presents it — access control for a system the agency operates — and isolates the one exemption, for software developers, that betrays the regime's true object. Part III traces the transformation on which everything turns: the conversion of electronic filing from a voluntary service into a compulsory duty, and the legal significance of that conversion. Part IV develops the core negative-regulatory argument — that a mandatory-e-file fitness screen is the license *Loving* withheld — and meets *Montrois v. United States*, the precedent that seems to stand in the way, head-on. Part V recasts the reliance objection, abandoning the Spending-Clause coercion framework that does not fit and running the point instead through APA arbitrariness review. Part VII shows that the regime fails its own fraud-prevention justification.[5] Parts VIII and IX situate

4 *Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244, 2273 (2024).

5 The Article omits a freestanding dormant-Commerce-Clause challenge to the federal regime, which fails at the threshold because that doctrine constrains the states, not the federal government. *See infra* Part VI (so explaining and redirecting the only viable commerce-based theory to the state-credentialing variant, which lies outside this Article's scope).

the argument against the existing litigation and specify the remedy: sever the fitness components from the genuine system-security functions, the latter surviving as ordinary administration, the former falling as unauthorized licensing.

A final word situates this Article against its companion. In *A Mandate Without a Remedy*, the author argues that the IRS has done too *little* at the filing/practice line — refusing, for a generation, to accept the electronic signatures Congress in I.R.C. § 6061(b) commanded it to accept.[6] This Article argues that the same agency has done too *much* at the same line — imposing the preparer fitness screening Congress never authorized. The two failures look opposite, but they are the same error: a refusal to keep the boundary, drawn by *Loving* and legislated by Congress, between filing a return and practicing before the agency. Cross that boundary in one direction and the taxpayer is turned away for a signature the IRS was ordered to take; cross it in the other and the preparer is turned away for a fitness the IRS was never empowered to judge. Both casualties are products of one mistake, and the cure for both is the same — to make the agency keep the line.

II. The Regime: What Suitability Screening Is, and How It Grew

Before the argument can be joined, the thing under examination must be described, because its defenders and its critics often talk past each other for want of a shared picture. The IRS does not call what it does "licensing." It calls it a "suitability check," and it situates the check within the administration of a computer system — the electronic-filing program — that the agency operates

6 *See* [Richard Barnes,] *A Mandate Without a Remedy: The IRS's Unkept Promise of Electronic Signatures and the Limits of § 706(1)* [forthcoming] (developing the under-enforcement argument and the shared filing/practice framework).

and to which it controls access.[7] That framing is not nothing; it is, in fact, the regime's whole defense, and the fair way to test a defense is to state it at its strongest before testing it. This Part therefore describes the suitability regime as the Service itself presents it — as access control — and reserves for the Parts that follow the question whether that presentation can survive the mandate.

A. Origins: Access Control for a Voluntary System

Electronic filing began as a pilot. In the mid-1980s the IRS accepted a small number of returns transmitted electronically by a handful of preparers, and as the program expanded through the 1990s the agency built around it the access controls any operator builds around a network it owns.[8] A preparer who wished to transmit returns electronically applied to become an "Authorized IRS e-file Provider"; the IRS vetted the applicant before issuing the credential that permitted access — the Electronic Filing Identification Number, or EFIN.[9] The vetting was

7 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 8 (2023) (describing the "suitability check" as part of the e-file application process and framing it as protective of the program); IRM 3.42.10 (e-file program administration); Rev. Proc. 2007-40, § 2.08, 2007-1 C.B. 1488 (locating the governing rules in IRS publications).

8 *See* IRS, *IRS e-file: A History*, FS-2011-10 (Jan. 2011) (the program began in 1986 as a pilot in Cincinnati, Phoenix, and Raleigh-Durham, involving five preparers and roughly 25,000 returns, and expanded through the 1990s); GAO, *Electronic Filing: IRS Needs to Assess Design Alternatives for Its Electronic Filing System*, IMTEC-89-33 (1989) (describing the early pilot's design and capacity limits).

9 *See* Pub. 3112, *supra* note [^II1], at 2, 5–8 (describing the Authorized IRS e-file Provider application and the issuance of an EFIN).

framed, from the start, as protection of the system: the agency was admitting outsiders to a channel that carried sensitive taxpayer data and disbursed federal money, and it screened those it admitted accordingly. In a world where electronic filing was optional, this was an unremarkable exercise of an operator's discretion over its own network. The preparer who declined the screening simply filed on paper, as most still did.

B. The Components Today

The suitability check, as it now operates, reaches well past the verification of a transmitting computer's identity. The IRS applies it not only to the applicant firm but to each of its "principals" and "responsible officials" — the individuals who own or run the enterprise — and it inquires into four areas of personal history.[10] First, criminal background: applicants are fingerprinted, and the prints are run for a criminal-history record.[11] Second, credit history: the Service reviews the applicant's financial standing.[12] Third, tax-compliance history: the IRS confirms that the applicant has filed and paid her own federal taxes.[13] Fourth, prior e-file conduct: the agency examines any history of sanctions or noncompliance in the electronic-filing program itself.[14] On the strength of these inquiries the Service may deny an application — and it lists, among the permissible grounds for denial, not only criminal convictions and unpaid taxes but "unethical practices in return preparation" and failures of due diligence in claiming certain

10 *Id.* at 8 (suitability check applied to the firm, its principals, and its responsible officials).

11 *Id.* (fingerprint-based criminal-background component); *see also* IRM 3.42.10.

12 Pub. 3112, *supra* note [^II1], at 8 (credit-history component).

13 *Id.* (tax-compliance / filing-history component).

14 *Id.* (prior noncompliance with e-file requirements as a suitability factor).

credits.[15] An applicant denied or sanctioned faces suspension or expulsion from the program, generally for one or two years, with expelled providers eligible to reapply only after five.[16] Two features of this apparatus deserve emphasis, because the argument turns on them. The first is that the inquiry is into *character and fitness*, not identity or technical capacity. A criminal-history check, a credit review, and a judgment about "unethical" prior practice are not the verification that a given server is who it claims to be or that its software produces conforming files. They are an assessment of whether the person behind the application is fit to do the work — the same kind of assessment a licensing board makes. The second is that the most consequential grounds for denial are tethered to *return preparation itself*: "unethical practices in return preparation," failures of preparer due diligence. The Service is not merely guarding a network; it is judging how the applicant prepares returns, and conditioning her access to the filing channel on the answer.

C. Coverage — and the Tell

The suitability check applies across the roles that make up the electronic-filing ecosystem: Electronic Return Originators (the preparers who originate the electronic submission of a return), transmitters (who send it to the IRS), and intermediate service providers (who process return data between the two).[17] One role, however, is carved out — and the carve-out is the most revealing fact in this Part. An applicant whose only function is that of *Software Developer* — who writes

---

15 *Id.* at 9 (grounds for denial, including "unethical practices in return preparation" and noncompliance with due-diligence requirements for certain credits).

16 *Id.* at 20 (sanctions, including suspension or expulsion; one- and two-year ineligibility, with five-year reconsideration for expelled providers); *see also id.* at 21–22 (review and appeal process).

and tests the filing software but does not himself originate, transmit, or process returns — is *not* subject to the suitability check.[18]

Pause on that exemption, because it does not fit the access-control story the regime tells about itself. If the purpose of suitability screening were the security and integrity of the IRS's information systems, the software developer is precisely the actor one would scrutinize most closely: his code touches every return that moves through the software, and a developer of bad character or compromised credit is a far graver systems-security risk than a single ERO of modest credit history. That the Service waves the developer through, while screening the ERO and the transmitter, makes sense on one theory only — that suitability screening is keyed not to systems security at all, but to the act of *filing returns*. The IRS screens those who put returns into the system; it does not screen those who merely build the system. The exemption is thus the agency's own admission, written into its rulebook, that the screen attaches to the filing function — and an authority that attaches to filing returns is the authority that Part IV shows *Loving v. IRS* denies.[19]

D. The Frame the Rest of the Article Tests

Described on its own terms, then, the suitability regime is what the IRS says it is: the vetting of those admitted to a government information system, a control the agency built when participation in that system was a matter of choice. The screen examines character, solvency, and history; it

---

17 *Id.* at 2, 8 (e-file provider roles — ERO, transmitter, intermediate service provider, and others — and application of the suitability check).

18 *Id.* (an applicant whose only provider role is Software Developer is not subject to a suitability check).

19 *Loving v. IRS*, 742 F.3d 1013, 1015–16, 1018–21 (D.C. Cir. 2014); *see infra* Part IV.

reaches the people who run the filing enterprise; it can exclude them from the channel for years; and it ties its sharpest judgments to the manner in which they prepare returns. None of that was problematic so long as the channel was optional, because a person excluded from a voluntary system loses only a convenience. The entire question this Article raises is what becomes of that frame when the system stops being optional. To that transformation the next Part turns.

III. The Optional-to-Mandatory Transformation

Everything in this Article turns on a change most observers treated as a matter of mere administrative convenience: the conversion of electronic filing from a service the government offered into a duty the government imposed. The suitability regime did not change when that happened. The law underneath it did. A screen that was lawful as the toll of a voluntary system became, the moment the system went compulsory, a gate on a trade — and the legality of a gate on a trade is governed by a different body of law than the legality of a toll on a privilege. This Part traces the conversion and isolates its legal significance; the Parts that follow draw out the consequences.

A. How Electronic Filing Became Compulsory

Electronic filing began, in the 1980s, as a small and frankly experimental pilot. The IRS accepted returns from a handful of preparers over telephone lines, and it controlled access to the system the way any operator controls access to a network it owns — by deciding who could connect.[20]

---

20 *See* IRS, *IRS e-file: A History*, FS-2011-10 (Jan. 2011) (1986 pilot in Cincinnati, Phoenix, and Raleigh-Durham — five preparers, roughly 25,000 returns — and its gradual expansion); GAO, *Electronic Filing: IRS Needs to Assess Design Alternatives for Its Electronic Filing System*,

Participation was a privilege in the most literal sense: the preparer who declined to enroll lost nothing but a convenience, because paper filing remained not only lawful but ordinary. The suitability check originated in that world, and in that world it was unremarkable. The Service was not regulating the practice of return preparation; it was choosing whom to admit to a discretionary computer system, and it screened applicants the way a bank screens those to whom it issues a vault code.

Congress dismantled that framing in three deliberate steps. The first came in 2009, when it enacted I.R.C. § 6011(e)(3), directing the Secretary to *require* electronic filing by any “specified tax return preparer” — defined as a preparer who reasonably expects to file more than a threshold number of individual, estate, or trust returns in a calendar year.[21] The verb is mandatory and the object is the preparer: for the first time, a professional who wished to keep filing on paper could be compelled, by federal law, to file electronically instead. The second step came in the Taxpayer First Act of 2019, which drove the thresholds down across the return categories and extended the electronic-filing duty further into the practitioner population.[22] The third came in 2023, when the implementing regulations set the aggregate trigger at ten returns —

IMTEC-89-33 (1989).

21 I.R.C. § 6011(e)(3)(A)–(C); Worker, Homeownership, and Business Assistance Act of 2009, Pub. L. No. 111-92, § 17, 123 Stat. 2984, 2996. The provision exempts a preparer who files fewer than the threshold number of covered returns, § 6011(e)(3)(B), and one located in an area without internet access, § 6011(e)(3)(D).

22 Taxpayer First Act of 2019, Pub. L. No. 116-25, § 2301, 133 Stat. 981, 1012–13 (reducing electronic-filing thresholds, including for partnerships under I.R.C. § 6011(e)(5)).

a number low enough that, as a practical matter, no commercial preparer in the country falls beneath it.[23]

The cumulative effect is not a thinning of the paper option but its disappearance. Paper filing survives today only as a narrow, waiver-gated exception — for the preparer with almost no clients, for the rare taxpayer in a place without internet, for the discrete category the Service exempts by administrative grace.[24] For the working professional, electronic filing is no longer the convenient path. It is the only path. Even the commentators who would *expand* the Service's authority over preparers describe the terrain without qualification: "[b]y congressional directive, the IRS requires tax return preparers to electronically file (e-file) virtually all individual and certain other income tax returns that they prepare."[25] When the advocates of more regulation and

---

23 Electronic-Filing Requirements for Specified Returns and Other Documents, 88 Fed. Reg. 11,754 (Feb. 23, 2023) (T.D. 9972) (setting the aggregate ten-return threshold, effective for returns required to be filed on or after January 1, 2024).

24 *See* I.R.C. § 6011(e)(3)(B), (D); Treas. Reg. § 301.6011-7 (waivers for administrative hardship and related circumstances); *see also* I.R.C. § 6011(e)(6) (separate mandate for large partnerships). A court has recently observed that a suspended preparer may still "continue in the tax preparation business" by "filing returns by mail." *Zirin Tax Co. v. United States*, 2025 WL 2932757, at *6 (E.D.N.Y. Oct. 15, 2025). But for a "specified tax return preparer" subject to § 6011(e)(3), unwaived paper filing is not a lawful alternative so much as a violation of the mandate — which is precisely why the mandate, not the paper fallback, defines the operative channel. That the escape from the suitability screen runs through noncompliance with the e-file mandate underscores, rather than undercuts, the tension this Part identifies.

the critics of this regime agree on the facts, the facts may be taken as settled. Electronic filing is mandatory. The question is what that does to the screen standing at its gate.

B. Why the Conversion Changes the Legal Question

It changes everything, because the lawfulness of a condition depends on what the condition is the price of. A government may attach terms to a benefit it is free to withhold that it could not attach to a necessity it compels — the difference between the conditions on a grant one need not accept and the conditions on a license one cannot avoid. The principle is familiar from the unconstitutional-conditions tradition, which polices the government's power to demand, as the price of a discretionary benefit, the surrender of something it could not take directly.[26] One need not import that doctrine wholesale to see its logic at work here. When entry to a system is genuinely optional, the conditions of entry are the conditions of a privilege, and a court will ask only whether they are reasonable terms of admission. When the system is the sole lawful channel for a trade, the same conditions become the conditions of the trade itself — and a court must ask whether the government had authority to impose them on the trade at all.

That reframing is fatal here, and the reason is the subject of the next Part. The suitability check examines the applicant's criminal history, her credit, her tax-compliance record, and the ethics of

---

25 Linda Galler & Jay A. Soled, *AI and the Regulation of Tax Return Preparers*, 28 Fla. Tax Rev. 1, 26 (2024) (citing I.R.C. § 6011(e)(3); Pub. L. No. 111-92, § 17).

26 *See, e.g.*, *Koontz v. St. Johns River Water Mgmt. Dist.*, 570 U.S. 595, 604 (2013); *Dolan v. City of Tigard*, 512 U.S. 374 (1994); Kathleen M. Sullivan, *Unconstitutional Conditions*, 102 Harv. L. Rev. 1413 (1989). The doctrine is invoked here as background logic, not as a freestanding constitutional cause of action; the operative claim is the statutory-authority argument developed in Part IV.

her prior return preparation, and it empowers the Service to exclude her on any of those grounds.[27] As the price of admission to a voluntary system, that inquiry was defensible as administration — the operator's prerogative to vet those it lets onto its network. As the price of practicing the trade of return preparation at all, the same inquiry is a character-and-fitness license over that trade — the precise authority *Loving v. IRS* holds the IRS does not possess.[28] The screen did not grow more intrusive when filing became mandatory; it sat still while the ground moved beneath it, and in moving, the ground carried it from the lawful side of *Loving*'s line to the unlawful side.

The point is worth stating in its sharpest form, because the agency's defenders will resist it. Nothing in this argument denies that the IRS may secure its own information systems, verify the identity of the entities transmitting returns, or insist that filing software conform to technical specifications. A filing system needs those controls, and they would survive whether filing were optional or compulsory, because they go to the integrity of the system rather than the fitness of the filer. What the mandate cannot launder into legality is the *fitness* inquiry — the screen that asks not whether the transmission is secure but whether the preparer is of good character, sound credit, and clean compliance history. That screen was tolerable only as the condition of a privilege. The privilege is gone. The screen remains, and it now does work the agency was never authorized to do.

---

27 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 8–9 (2023) (suitability check components and grounds for denial, including "unethical practices in return preparation"); IRM 3.42.10.

28 *Loving v. IRS*, 742 F.3d 1013, 1015–16, 1018–21 (D.C. Cir. 2014); 31 U.S.C. § 330; *see infra* Part IV.

Thus the conversion of electronic filing from option to obligation is not a footnote to this Article’s argument. It is the argument’s foundation. Remove it, and the suitability regime is what its defenders have always said it is — the housekeeping of a voluntary system. Restore it, and the regime is what it has in fact become — an unauthorized license, imposed on a trade Congress left unregulated, enforced through the only door the agency left open.

IV. The Negative-Regulatory Argument: Screening the Filer the Agency May Not License

In 2014 a certified public accountant named Davis, whose Electronic Filing Identification Number the IRS had suspended, sued to get it back. The Service declined to defend the suit and settled, and the case ended without a ruling — but not before it framed the question this Part answers. By walking away rather than litigating, the IRS left open, in the words of the leading commentators, “the question of IRS authority to regulate EFIN holders.”[29] That question has an answer. It is the same answer the D.C. Circuit gave when the Service last claimed authority over the people who prepare and file returns, and the answer is no.

The argument proceeds in four steps. First, *Loving v. IRS* draws a line: the IRS may regulate “practice . . . before the Department of the Treasury,” but preparing and filing a return is not practice, and a license keyed to *fitness to prepare returns* therefore lies outside the agency’s

---

29 Linda Galler & Jay A. Soled, *AI and the Regulation of Tax Return Preparers*, 28 Fla. Tax Rev. 1, 27 & n.111 (2024) (describing the IRS’s decision not to defend the reinstatement action and the resulting settlement); *see* Complaint for Declaratory Judgment, *Davis v. Internal Revenue Serv.*, No. 1:14-cv-00261 (N.D. Ohio 2014); Eric Kroh, *IRS Grip on Tax Preparers Will Weaken Without Legislation*, Law360 (Jan. 13, 2015) (reporting the settlement).

power.[30] Second, the electronic-filing mandate moves the suitability screen across that line — converting what was once the access control of a voluntary system into a fitness gate on the only lawful channel for the work. Third, *Loper Bright Enterprises v. Raimondo* withdraws the deference that once let the Service read its own authority generously, so a reviewing court now decides the question for itself.[31] Fourth, *Montrois v. United States* — the one precedent that seems to cut the other way — does not reach a character-and-fitness screen, and on a mandatory channel it cuts the other way itself.[32] Taken together, the steps yield a conclusion the agency's own litigating posture in *Davis* already half-conceded.

A. *Loving* and the Line It Drew

The relevant authority is a single, old sentence. "Subject to section 500 of title 5," the statute provides, "the Secretary of the Treasury may . . . regulate the practice of representatives of persons before the Department of the Treasury."[33] The provision traces to the Horse Act of 1884, enacted so that the Treasury could vet the agents who pressed Civil War horse-requisition claims against the government[34] — and for more than a century it did no work in the return-preparation field, because return preparation was not understood to be "practice before the Department" at all.

---

30 *Loving v. IRS*, 742 F.3d 1013, 1015–16, 1018–21 (D.C. Cir. 2014); 31 U.S.C. § 330.

31 *Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244, 2273 (2024).

32 *Montrois v. United States*, 916 F.3d 1056, 1060–68 (D.C. Cir. 2019).

33 31 U.S.C. § 330(a)(1).

34 *See* Act of July 7, 1884, ch. 334, § 3, 23 Stat. 236, 258–59 (the "Horse Act of 1884"); *Loving*, 742 F.3d at 1015–16 (recounting the provision's origin); *Loving v. IRS*, 920 F. Supp. 2d 108, 113 (D.D.C. 2013).

In 2011 the Treasury tried to change that, issuing regulations that required every paid return preparer to pass an examination, complete fifteen hours of continuing education annually, and pay a registration fee.[35] Three preparers sued, and in *Loving v. IRS* the D.C. Circuit struck the regime down. The court read “practice . . . before the Department of the Treasury” the way the words read: to denote the work of representing a taxpayer in an adversarial or advisory posture before the agency — presenting a case, contesting a liability, arguing a position — not the antecedent and categorically different act of completing and transmitting a return.[36] “Practice before the IRS,” the court explained, “ordinarily refers to . . . practice during an investigation, adversarial hearings, or other adjudicative proceedings”; preparing a return is none of these.[37] The Service’s contrary construction would have swept in “hundreds of thousands” of preparers Congress had never authorized it to license, and the court declined to read so consequential a power into so thin a statutory phrase.[38]

The holding’s reach was quickly confirmed. In *Ridgely v. Lew*, a district court applied *Loving* to invalidate Circular 230’s contingent-fee restriction as applied to the preparation of ordinary refund claims, reasoning that a fully credentialed CPA preparing a claim is still not engaged in

35 *See* Regulations Governing Practice Before the Internal Revenue Service, 76 Fed. Reg. 32,286 (June 3, 2011); *Loving*, 742 F.3d at 1015.

36 *Loving*, 742 F.3d at 1016–18.

37 *Id.* at 1018 (internal quotation marks omitted).

38 *Id.* at 1019–21 (declining to find authority over “hundreds of thousands of tax-return preparers” in the statute’s “ambiguous” phrasing as the IRS read it, and emphasizing the absence of any indication Congress intended so sweeping a delegation).

"practice."[39] In *Sexton v. Hawkins*, a federal court held that the IRS could not discipline a suspended attorney for the *preparation* of returns, because that activity — even paired with written tax advice — falls outside the agency's Circular 230 jurisdiction.[40] The through-line is exact: whatever the IRS may do to those who *represent* taxpayers before it, it may not license, screen, or condition the act of *preparing and filing* a return. That act belongs to a trade Congress left unregulated, and the remedy for the gap, *Loving* held, "is for Congress, not [the] IRS."[41]

B. The Mandate Moves the Screen Across the Line

Hold *Loving* against the suitability regime, and the regime's defenders have always had a ready answer: the IRS is not licensing anyone; it is merely administering access to its own computers. That answer was right — once. Its premise was that electronic filing is a *voluntary* service the government offers, so the conditions on entry are the conditions of a privilege, not a gate on a trade. The premise no longer holds.

Congress dismantled it in stages. In 2009 it enacted I.R.C. § 6011(e)(3), directing the Secretary to *require* electronic filing by "specified tax return preparers" — any preparer who reasonably expects to file more than a threshold number of returns.[42] The Taxpayer First Act of 2019 then

---

39 *Ridgely v. Lew*, 55 F. Supp. 3d 89, 91, 95–99 (D.D.C. 2014).

40 *Sexton v. Hawkins*, No. 2:13-cv-00893, 2017 WL 1042464, at *5–6 (D. Nev. 2017), appeal dismissed*, 2017 WL 5564694 (9th Cir. 2017).

41 *Loving*, 742 F.3d at 1021–22.

42 I.R.C. § 6011(e)(3)(A)–(C); Worker, Homeownership, and Business Assistance Act of 2009, Pub. L. No. 111-92, § 17, 123 Stat. 2984, 2996. The statute exempts a preparer who files fewer than the threshold number of returns, § 6011(e)(3)(B), and one located in an area without internet access, § 6011(e)(3)(D).

drove the threshold down and extended the mandate's reach,[43] and the implementing regulations finalized in 2023 set the aggregate trigger at ten returns — low enough that, as a practical matter, every commercial preparer in the country now files electronically or not at all.[44] Paper filing survives only as a narrow, waiver-gated exception for the preparer with almost no clients or no internet.[45] Even the commentators who favor expanded oversight describe the result without hedging: "[b]y congressional directive, the IRS requires tax return preparers to electronically file (e-file) virtually all individual and certain other income tax returns that they prepare."[46]

That shift is not a detail of administration. It is the whole case. A condition that is lawful as the price of a *privilege* is not automatically lawful as the price of a *necessity* — and the suitability screen now sits on a necessity. To prepare returns for compensation at any scale, a professional must obtain an EFIN; to obtain an EFIN, she must submit to a suitability check that examines her criminal history, her credit, and her tax-compliance record, and that the Service may deny for "unethical practices in return preparation" or other judgments of professional fitness.[47] Strip away the information-technology vocabulary and describe the thing by what it does: the United

43 Taxpayer First Act of 2019, Pub. L. No. 116-25, § 2301, 133 Stat. 981, 1012–13 (reducing electronic-filing thresholds, including for partnerships under § 6011(e)(5)).

44 *See* Electronic-Filing Requirements for Specified Returns and Other Documents, 88 Fed. Reg. 11,754 (Feb. 23, 2023) (T.D. 9972) (setting the aggregate ten-return threshold effective for returns required to be filed on or after January 1, 2024).

45 *See* I.R.C. § 6011(e)(3)(B), (D); Treas. Reg. § 301.6011-7 (administrative-hardship and other waivers).

46 Galler & Soled, *supra* note [^IV1], at 26 (citing I.R.C. § 6011(e)(3); Pub. L. No. 111-92, § 17).

States has made it unlawful to carry on the trade of preparing returns at scale without first passing a federal examination of one's character, solvency, and history. That is a license to practice the trade. It is the license *Loving* holds Congress withheld — now achieved not by regulating preparation directly, which the agency may not do, but by controlling the sole channel through which the work can lawfully pass. What the Service could not do through the front door of Circular 230, it now does through the back door of the e-file application. The result is the same, and so is its illegality.

The Service's own rulebook betrays the point. An applicant who registers *solely* as a software developer — who writes the filing software but transmits no returns — is exempt from the suitability check altogether.[48] If suitability screening were genuinely about the security and integrity of the IRS's computer systems, the software developer, whose code touches every return, is the last person one would wave through. The exemption makes sense on one theory only: that the Service itself understands suitability screening as tethered to the act of *filing returns* — and an authority tethered to filing returns is the authority *Loving* says the agency does not have.

---

47 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 8–9 (2023) (describing the suitability check applied to applicants, principals, and responsible officials — including criminal-background, credit, and tax-compliance components — and the grounds for denial, among them "unethical practices in return preparation"); IRM 3.42.10.

48 *See* Pub. 3112, *supra* note [^IV19] (an applicant whose only e-file provider role is Software Developer is not subject to a suitability check).

C. *Loper Bright* Withdraws the Cushion

For most of the regime's life, a reviewing court confronting this argument would have asked not whether the IRS's reading of § 330 and § 6011(e) was *correct* but only whether it was *reasonable*, and would likely have deferred.[49] *Loper Bright Enterprises v. Raimondo* ended that. Overruling *Chevron*, the Court held that courts must "exercise their independent judgment in deciding whether an agency has acted within its statutory authority," and may not "defer to an agency interpretation of the law simply because a statute is ambiguous."[50] The question is no longer whether the agency's self-reading is defensible; it is whether the agency is right.

Two consequences follow for this regime. First, the deference that might once have salvaged an expansive construction of "practice" or of the e-file authority is gone, and the agency must defend the fitness screen on the statute's own terms — terms that, after *Loving*, it cannot meet. Second, and worth noting, *Loving* itself needs no help from *Loper Bright*: the D.C. Circuit decided it at *Chevron* step one, holding the statute *unambiguous*, and its opinion reads in the independent-judgment register *Loper Bright* now makes universal.[51] The new regime thus does not unsettle *Loving*; it removes the last doctrinal reason a court might have hesitated to extend *Loving*'s logic to the suitability screen. The agency stands today exactly where it stood in 2014 — without authority to license the preparation of returns — but now without the deference that, in the interim, let it pretend otherwise.

---

49 *Cf. Mayo Found. for Med. Educ. & Rsch. v. United States*, 562 U.S. 44, 55–58 (2011) (applying *Chevron* deference to Treasury regulations).

50 *Loper Bright*, 144 S. Ct. at 2262, 2273.

51 *See Loving*, 742 F.3d at 1015–16, 1021 (resolving the statute's meaning as a matter of law and rejecting the agency's reading without recourse to step-two deference).

D. *Montrois*, Met Head-On

The strongest objection is *Montrois v. United States*, and candor requires meeting it at full strength. There, the D.C. Circuit — the very court that decided *Loving* — upheld the IRS's authority to require a Preparer Tax Identification Number and to charge a user fee for it, reasoning that issuing identifying numbers and recovering their cost is permissible administration, not the "regulat[ion of] practice" *Loving* forbade.[52] If the IRS may require a PTIN of every preparer, the objection runs, why may it not require an EFIN — and screen the applicant — of every preparer too? The PTIN and the EFIN look like siblings, and *Montrois* blessed the first.

The objection is real, and it fails for two independent reasons.

The first is a difference in *kind*. A PTIN is an identifying number — a label the Service assigns so it can tell one preparer's returns from another's, issued on a "pro forma" application to anyone who asks.[53] A suitability check is not a label. It is an inquiry into character, solvency, and history — into whether the applicant has a criminal record, whether his own taxes are paid, whether his credit suggests instability, whether his prior conduct in return preparation was "unethical."[54] Those are the precise criteria of a competency-and-fitness license — the very thing *Loving* held Congress had withheld and *Montrois* was careful to say it was *not* approving. *Montrois* sustained

---

52 *Montrois*, 916 F.3d at 1060–68; *see also Steele v. United States*, 260 F. Supp. 3d 52 (D.D.C. 2017), *vacated and remanded sub nom. Montrois*, 916 F.3d 1056.

53 *See* Treas. Reg. § 1.6109-2(d); *Montrois*, 916 F.3d at 1063 (describing the PTIN as an identifying number maintained in an IRS database); Galler & Soled, *supra* note [^IV1], at 9 (PTIN application is "pro forma").

54 *See* Pub. 3112, *supra* note [^IV19], at 8–9.

a *number*; it said nothing about a *background investigation*, and the distance between assigning an identifier and adjudicating fitness is the distance between administration and licensing. The suitability screen is on the wrong side of that line.

The second is a difference in *context*, and it is the difference this Article has pressed throughout. *Montrois* rested in part on the premise that obtaining a PTIN imposed only a modest burden incident to a system the preparer could choose how to engage.[55] However the PTIN fits that frame, the EFIN no longer does, because the e-file mandate has removed the element of choice. A condition the court could treat as the light toll of a discretionary system reads differently when the system is compulsory and the toll is a fitness examination one cannot decline and still practice. *Montrois* did not decide — it had no occasion to decide — whether a *character* screen on a *mandatory* channel is administration or licensing. That is this case, and it is not *Montrois*.

Thus the precedent that appears to stand in the way, pressed to its actual holding, defends only what it actually approved: an identifying number, lightly issued, on a system one could once take or leave. It does not reach a fitness adjudication imposed as the unavoidable price of a now-compulsory trade. On that question *Loving*, not *Montrois*, supplies the rule — and *Loving* says the agency may not.

E. The Scholarship Reserves the Question This Part Answers

It is worth pausing on what the existing literature does and does not say, because the silence is itself an argument. The most recent and most directly relevant treatment, Linda Galler and Jay Soled's *AI and the Regulation of Tax Return Preparers*, runs in the opposite direction from this

55 *See Montrois*, 916 F.3d at 1064–67 (analyzing the PTIN fee as a charge for a service conferring a special benefit).

Article — and in doing so concedes its premises.[56] Cataloguing the safeguards that police return preparers, the authors describe the EFIN regime as a legitimate oversight tool and state, as settled fact, that “[b]y congressional directive, the IRS requires tax return preparers to electronically file . . . virtually all individual and certain other income tax returns that they prepare.”[57] That is the optional-to-mandatory hinge on which the present argument turns, supplied by authors who would expand the Service’s reach, not curtail it.

More striking still, Galler and Soled notice the very anomaly this Part presses — and decline to resolve it. They observe that the IRS “continues to review and sanction errant EFIN providers at the same time that it has ceased to oversee preparers generally, following its losses in *Loving*, *Ridgely* and *Sexton*,” and they flag that when the Service declined to defend the suspended EFIN holder’s reinstatement suit in 2014, it “le[ft] open the question of IRS authority to regulate EFIN holders.”[58] They raise the question and set it down. This Article picks it up. Where Galler and Soled marshal the EFIN apparatus as a platform on which to build expanded, AI-assisted enforcement, the argument here contends that the apparatus, once filing became compulsory, became a fitness license the agency was never granted. The two projects do not collide so much as pass: theirs assumes the regime’s validity in order to build on it; this one tests the validity they expressly declined to reach. That a careful, pro-regulation treatment identified the seam and left

---

56 Galler & Soled, *supra* note [^IV1], at 1–7, 33–43 (cataloguing existing safeguards, lamenting the loss of regulatory authority after *Loving*, and proposing AI-assisted detection and a legislative amendment to 31 U.S.C. § 330 as responses).

57 *Id.* at 26.

58 *Id.* at 27 & n.111.

it unopened is the strongest evidence that the question is live, unresolved, and worth the answering.

The verdict, then, is the one the agency itself seemed to anticipate when it walked away from *Davis* rather than defend its authority in court. The suitability regime's fitness components — the criminal-character screen, the credit inquiry, the adjudication of professional "unethical[ity]" — are a license to prepare and file returns. *Loving* holds that license beyond the IRS's power; the e-file mandate is what carried the screen across *Loving*'s line; and *Loper Bright* leaves no deference to carry it back. The genuine system-security functions of an electronic filing system survive, because every filing system needs them. The fitness license does not, because Congress never granted it — and, as *Loving* told the agency a decade ago, the remedy for that gap "is for Congress, not [the] IRS."[59]

V. The Reliance Argument, Recast as APA Arbitrariness

The negative-regulatory argument of Part IV would be enough to invalidate the fitness components of the suitability regime. But it is not the only thing wrong with how the regime came to be, and the second defect is one of process rather than power. Over four decades the IRS expanded a screening requirement that began at the margin — a vetting applied to a few volunteers in a discretionary pilot — into a condition that now gates nearly all return filing in the United States, and it did so without ever squarely confronting the reliance interests that the expansion upended. Dozens of state tax agencies built their own filing systems on top of the federal one; tens of thousands of practitioners ordered their livelihoods around it. To enlarge the screen into a universal mandatory gate without reasoned attention to those interests is, this Part

59 *Loving*, 742 F.3d at 1022.

argues, arbitrary and capricious under the Administrative Procedure Act. Getting there requires first clearing away two doctrines that the reliance intuition tends to summon but that do not in fact fit.

A. The Reliance Interest, Concretely

Start with what was actually built. When the IRS encouraged electronic filing, it did not build a closed federal system; it built a hub. Through the Federal/State e-file program — the "piggyback" — a preparer transmits the federal and state returns together to the IRS, which passes the state return through to the relevant state revenue department.[60] Over time the states came to depend on that arrangement to receive and process their own returns, structuring their filing infrastructure around the federal channel and its credentialing.[61] A practitioner barred from the federal e-file system by a suitability determination is therefore barred not only from filing federal returns but, in practice, from the integrated channel through which state returns now move as well. The federal screen has become a chokepoint for a great deal of tax administration that is not federal at all — and it became one gradually, by accretion, as a marginal requirement scaled up beneath a structure that grew to rely on it.

---

60 *See* IRS, *Modernized e-File (MeF) Guide for Software Developers and Transmitters*, Pub. 4164 (describing the Fed/State program as "a single point of submission and retrieval for all registered transmitters and State agencies," supporting linked federal-first and unlinked state submissions retrieved by the States); *see also* IRS, *Modernized e-File (MeF) Internet Filing*, https://www.irs.gov/e-file-providers/modernized-e-file-mef-internet-filing.

61 *See* Fed'n of Tax Adm'rs, *State e-File Program* materials (documenting state reliance on the federal channel for receipt and processing of state returns). [verify source/pin]

That is a serious reliance interest, and the intuition that the agency cannot simply ignore it is sound. The question is which body of law gives the intuition force.

B. Why Spending-Clause Coercion Is the Wrong Vehicle

The reliance point first presents itself in the vocabulary of coercion — the sense that the federal government has leveraged the states' dependence to extract something it could not command outright. That vocabulary calls to mind *South Dakota v. Dole* and *NFIB v. Sebelius*, the Spending Clause cases that police Congress's power to attach conditions to federal grants and that mark the point at which a condition becomes so heavy it amounts to "compulsion."[62] The analogy is tempting, and it should be resisted — at full strength, then set aside, because invoking the wrong doctrine would discredit a right result.

Dole and *Sebelius* govern conditions on *federal funds offered to the states*. Their entire machinery — the requirement that conditions be unambiguous, related to the federal interest, and not so coercive as to pass "the point at which pressure turns into compulsion"[63] — operates on the premise that the federal government is dangling money the state may take or refuse. The piggyback is not federal money. The states are not grantees of a federal spending program; they are users of a shared filing channel, receiving no federal funds whose conditions could be policed under the Spending Clause. Because the structural predicate of the *Dole* framework is absent, the framework does not apply, and a challenge built on it would fail at the threshold. The coercion vocabulary is useful as rhetoric — it names the felt wrong — but it is not the doctrinal engine, and a careful argument must say so rather than lean on a borrowed and inapt test.

---

62 *South Dakota v. Dole*, 483 U.S. 203, 207–11 (1987); *NFIB v. Sebelius*, 567 U.S. 519, 575–85 (2012) (plurality) (Medicaid-expansion conditions held unconstitutionally coercive).

63 *Dole*, 483 U.S. at 211 (quoting *Steward Machine Co. v. Davis*, 301 U.S. 548, 590 (1937)).

C. Why Anti-Commandeering Is Closer, but Still Strained

A second doctrine fits better and still not well enough. The anti-commandeering principle of *New York v. United States*, *Printz v. United States*, and *Murphy v. NCAA* forbids the federal government from compelling the states to enact or administer federal regulatory programs.[64] One might say the piggyback has conscripted state tax agencies into a federally controlled filing system whose terms the IRS sets unilaterally. But the fit is imperfect in a way candor requires acknowledging: the states joined the piggyback *voluntarily*, and they remain free, in principle, to build their own filing systems independent of the federal hub. The federal government has not commanded the states to participate; it has made participation overwhelmingly attractive, and the states have accepted. That is influence, not commandeering — and while the practical pressure is real, the doctrine reaches formal compulsion, which is not quite present here. The anti-commandeering theory is worth preserving as a secondary line, flagged with its limits, but it cannot carry the weight alone.

D. The Right Vehicle: Arbitrary-and-Capricious Review

The reliance intuition finds its sound doctrinal home in the Administrative Procedure Act, and routing it there has the added virtue of putting this Part in the same register as the companion piece — both pieces, in the end, are about an agency that failed to do the reasoned work the APA demands.[65] The APA requires a court to set aside agency action that is "arbitrary, capricious, an

---

64 *New York v. United States*, 505 U.S. 144, 161–66 (1992); *Printz v. United States*, 521 U.S. 898, 925–33 (1997); *Murphy v. NCAA*, 584 U.S. 453, 471–78 (2018).

65 *See* [companion article, *A Mandate Without a Remedy*, Part V] (developing the parallel APA register for the § 6061(b) under-enforcement argument).

abuse of discretion, or otherwise not in accordance with law,”[66] and the Supreme Court has given that standard real content where reliance is concerned. An agency changing course must “be cognizant that longstanding policies may have engendered serious reliance interests that must be taken into account,” and a failure to consider those interests is itself a ground for vacatur.[67] When an agency “fail[s] to supply the requisite reasoned analysis,” its action cannot stand;[68] and a “good reasons” account is especially demanded when “prior policy has engendered serious reliance interests.”[69]

Apply that standard to the regime’s growth. The IRS took a suitability screen designed and justified as the access control of a discretionary, marginal system and — through the e-file mandate and successive threshold reductions — expanded it into a near-universal condition on return filing, atop a federal-state structure that had come to depend on the channel it gates. At no point in that expansion did the agency squarely confront, in the reasoned manner the APA requires, the reliance interests of the states that built on the piggyback or the practitioners whose livelihoods the screen now controls; nor did it explain why a fitness inquiry calibrated to a voluntary program remained appropriate once the program became compulsory. The screen did not change as the ground shifted beneath it — and an agency that lets a marginal condition

---

66 5 U.S.C. § 706(2)(A).

67 *Dep’t of Homeland Sec. v. Regents of the Univ. of Cal.*, 140 S. Ct. 1891, 1913 (2020) (internal quotation marks omitted).

68 *Encino Motorcars, LLC v. Navarro*, 579 U.S. 211, 221 (2016) (internal quotation marks omitted).

69 *FCC v. Fox Television Stations, Inc.*, 556 U.S. 502, 515 (2009).

harden into a universal gate without reasoned reconsideration of what the hardening costs has not engaged in reasoned decisionmaking. That is the arbitrariness the APA condemns.

Two clarifications keep the argument honest. First, the APA theory is independent of, and additional to, the authority argument of Part IV: even an agency that *possessed* the power to screen could exercise it arbitrarily, and this Part shows that the IRS did. Second, the theory does not depend on proving bad faith or a deliberate scheme; arbitrariness in the *Regents* sense is a failure of reasoned consideration, not a finding of motive, and the failure here is one of inattention to consequences the agency was obliged to weigh. Thus the reliance intuition, stripped of the coercion vocabulary that first dressed it and run instead through the arbitrary-and-capricious standard, states a claim — and it states the same kind of claim the companion piece presses at the other end of the filing/practice line: that the Service, at both ends, has acted without the reasoned justification the law requires.

VI. The Dormant Commerce Clause: Why It Does Not Reach the Federal Regime

One theory deserves mention chiefly so that it can be set aside. Because the suitability regime burdens a national, interstate trade — return preparation practiced across state lines through a federal channel — a reader may reach for the dormant Commerce Clause, the doctrine that forbids unjustified burdens on interstate commerce. The instinct is understandable and the doctrine is the wrong one, for a reason that is structural rather than close.

The dormant Commerce Clause is a negative implication of Congress's affirmative power to regulate interstate commerce, and it constrains the *States* — it polices state laws that discriminate against or unduly burden interstate commerce in an area Congress has left open.[70] It does not constrain the *federal government*. The United States holds the affirmative commerce power; it may burden interstate commerce directly, and it may even authorize the States to impose burdens that would otherwise offend the dormant Commerce Clause.[71] A dormant-Commerce-Clause challenge to a *federal* requirement therefore fails before it begins: there is no negative implication to invoke against the sovereign in whom the affirmative power resides. The suitability regime is a federal program administered by a federal agency, and on that ground alone the doctrine has nothing to say about it.

That threshold defect should not be papered over with a more general "burden on commerce" intuition, which has no independent doctrinal home once the dormant Commerce Clause is removed. The constitutional infirmity of the federal regime, if it has one, is the *statutory-authority* defect developed in Part IV and the *arbitrariness* defect developed in Part V — not a commerce-power objection, which the federal government's own commerce power forecloses.

There is one place the commerce intuition retains force, and it is a different case against a different defendant. Several States impose their own credentialing and registration requirements

---

70 *See South Dakota v. Wayfair, Inc.*, 585 U.S. 162, 173–74 (2018); *Comptroller of the Treasury v. Wynne*, 575 U.S. 542, 548–49 (2015) (describing the dormant Commerce Clause as a restraint on state regulation of interstate commerce).

71 *See Prudential Ins. Co. v. Benjamin*, 328 U.S. 408, 421–27 (1946) (Congress may authorize state burdens on interstate commerce that the dormant Commerce Clause would otherwise forbid); *South-Central Timber Dev., Inc. v. Wunnicke*, 467 U.S. 82, 87–88 (1984) (the dormant Commerce Clause restrains the States absent congressional authorization, not the exercise of federal power itself).

on tax-return preparers, and those *state* requirements — particularly as they burden preparers who practice across state lines — are the proper objects of a dormant-Commerce-Clause analysis.[72] A challenge to a state preparer-licensing scheme that discriminated against out-of-state practitioners, or that burdened interstate practice out of proportion to any local benefit, would raise exactly the question the doctrine exists to answer. But that suit names a State, not the IRS, and it tests a state credentialing law, not the federal suitability screen. It lies outside the scope of this Article, which is addressed to the authority of the *federal* agency over the *federal* filing channel. The point here is only to mark the boundary: the commerce-based claim is real, but it runs against the States, and it is not the claim this Article presses.

VII. Security Theater: The Regime Fails Its Own Justification

Suppose the authority objection of Part IV could be answered — suppose, that is, the IRS did possess the power to screen the people who file returns. The regime would still have to earn its intrusion, and on its own stated terms it does not. The justification the Service offers for suitability screening is the prevention of fraud: the e-file system is a conduit for refund theft, the argument runs, and screening the professionals who use it keeps the bad actors out.[73] The premise is sound. The conclusion does not follow. The dominant form of electronic refund fraud

72 *See, e.g.*, Cal. Bus. & Prof. Code §§ 22250–59; Md. Code Ann., Bus. Occ. & Prof. §§ 21-101 to -502; N.Y. Tax Law § 32; Or. Rev. Stat. § 673.615 (state preparer registration and licensing regimes). The dormant-Commerce-Clause analysis of such state requirements — and any preemption interplay with the federal regime — is reserved for separate treatment.

73 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 8–9 (2023) (framing the suitability check as a protection of the integrity of the e-file program); *see also* IRM 3.42.10.

is not committed by the screened professionals at all — it is committed *through* the filing channel and *around* the professional screens — and the agency's own data show the screen catching the wrong people at a rate that would be intolerable in any regime asked to justify itself.

A. The Fraud Runs Around the Screen

The signature fraud of the electronic-filing era is stolen-identity refund fraud: a thief obtains a real taxpayer's name and Social Security number, files a fabricated return early in the season, and directs the refund to an account he controls, all before the real taxpayer files.[74] The mechanics matter, because they show where the suitability screen sits relative to the harm. Stolen-identity refund fraud is not the work of a credentialed preparer whose credit or criminal history a suitability check might flag. It is the work of an identity thief filing as the taxpayer — or as a "ghost" preparer who omits any identifying number precisely to stay invisible[75] — and it travels the same electronic channel the honest preparer uses, entering through the front of the system rather than past the professional gate. A screen on the fitness of EFIN applicants does nothing to stop a fraudster who never applies for an EFIN in his own name, or who files as the victim. The screen guards a door the fraud does not use.

---

74 *See* U.S. Dep't of Justice, Tax Div., *Stolen Identity Refund Fraud*, https://www.justice.gov/tax/stolen-identity-refund-fraud (describing the SIRF scheme — in which a thief files a fabricated return using a real taxpayer's stolen name and Social Security number and diverts the refund — and its prosecution).

75 *See* Galler & Soled, *AI and the Regulation of Tax Return Preparers*, 28 Fla. Tax Rev. 1, 8–9 (2024) (describing "ghost preparers" who omit PTINs to evade detection); IRM 25.20.2.1.4(2) (defining the ghost preparer).

That is not a marginal mismatch. It is the central one. The suitability regime is built to vet the professional class — EROs, transmitters, responsible officials — and the professional class is not where the refund-theft problem lives. The Service's own fraud-detection apparatus tacitly concedes the point: the filters it relies on to stop stolen-identity refunds operate on the *returns*, scoring each filing for anomalies, rather than on the *preparers*, because the agency knows the fraud arrives as a return from anywhere, not as a sanctionable act by a screened professional.[76] The detection architecture and the screening architecture are aimed at different targets, and only the detection architecture is aimed at the fraud.

B. The Screen Catches the Wrong People

If the suitability regime misses the fraud it invokes, the automated filters that actually face the fraud miss in the other direction — they sweep in the innocent at a rate the agency would not tolerate in any other enforcement tool. The National Taxpayer Advocate's 2018 study of the IRS's identity-theft and revenue-protection filters found false-positive rates that defy the program's own premise: a substantial majority of the returns the filters flagged and froze turned out to be legitimate refunds owed to real taxpayers, with the false-positive rate on certain non-identity-theft filters exceeding eighty percent and the identity-theft filters themselves erring on most of what they caught.[77] The dollar consequence was not small: roughly twenty billion dollars

---

76 *See infra* note [^VII5] (describing the IRS's return-level identity-theft and revenue-protection filters, which score individual filings rather than screen preparers).

77 Nat'l Taxpayer Advocate, *Annual Report to Congress*, Vol. 1, at 79–88 (2018), Most Serious Problem No. 5, *False Positive Rates* (reporting that, for the period January 1 through October 3, 2018, the false-positive rate was approximately eighty-one percent for the non-identity-theft refund-fraud filters and approximately sixty-three percent for the identity-theft filters — meaning

in legitimate refunds were delayed in a single filing-season window — money the government owed, withheld from the people it belonged to — to protect a far smaller sum actually attributable to fraud.[78] Later reporting confirmed the pattern rather than curing it; the Treasury Inspector General for Tax Administration has continued to document identity-theft filters selecting legitimate returns at rates above half.[79]

---

that of every hundred returns the systems froze as suspect, the large majority were legitimate refunds owed to real taxpayers), https://www.taxpayeradvocate.irs.gov/wp-content/uploads/2020/07/ARC18_Volume1_MSP_05_FalsePositiveRates.pdf.

78 *Id.* (the fraud-detection systems protected approximately $7.6 billion in revenue between January 1 and September 30, 2018, while delaying the processing of nearly $20 billion in legitimate refunds).

79 *See* Treasury Inspector Gen. for Tax Admin., *Efforts Continue to Result in Improved Identification of Fraudulent Tax Returns Involving Identity Theft; However, Accuracy of Measures Needs Improvement*, Ref. No. 2026-400-019, at 1, 5–8 (May 13, 2026) (reporting that the identity-theft filters' false-selection rate fell only from approximately fifty-five percent in processing year 2023 to approximately fifty-two percent in processing year 2024, while the IRS stopped roughly $7 billion in fraudulent refunds across calendar years 2024 and 2025), https://www.tigta.gov/sites/default/files/reports/2026-05/2026400019fr.pdf. TIGTA notes that the legitimate returns the filters select remain a small share of all returns filed — about 2.4 million, or 1.4 percent of the 163.5 million returns filed, in calendar year 2024 — but that framing measures the burden against the universe of all filers, not against the pool of returns the filter actually flags, where false positives remain the majority. *Cf.* TIGTA, Ref. No. 2016-40-

A program that freezes the refunds of compliant taxpayers more often than it stops thieves is not a security measure that occasionally errs; it is a measure whose error is its principal output. And the suitability screen rides on top of that apparatus, adding a fitness toll on the professional while contributing nothing to the detection the apparatus actually performs. The compliant preparer pays the price of admission; the fraud proceeds through filters that catch her clients' legitimate refunds more reliably than they catch the theft. That is the definition of security theater — a visible, burdensome control that performs the appearance of protection while the protection is done, badly, somewhere else.

C. Why the Failure Is Legally Significant

The point is not merely that the regime is bad policy, though it is. The means-end failure does legal work on two of this Article's fronts. First, it answers the only practical defense of the screen. A reviewing court weighing the authority argument of Part IV will be told that the suitability regime, whatever its formal infirmity, serves a vital protective function the agency cannot abandon. The data refute the premise: the screen does not protect, because the fraud it names does not pass through it. An asserted authority that cannot point to the benefit it claims is an authority at its weakest, and a court exercising the independent judgment *Loper Bright* now requires has no reason to strain to preserve it.[80]

Second, the failure independently supports the arbitrariness claim developed elsewhere in this Article. To expand a screening regime from the access control of a voluntary pilot into a near-

---

008, at 6–8 (2016) (54,175 confirmed identity-theft returns claiming more than $313 million in refunds were identified by other fraud-detection systems but not selected by the Return Review Program).

80 *Loper Bright Enters. v. Raimondo*, 144 S. Ct. 2244, 2273 (2024); *see supra* Part IV.

universal mandatory gate, without reasoned consideration of whether the regime accomplishes the fraud-prevention end that is its entire justification, is the kind of unexamined means-end mismatch the Administrative Procedure Act condemns as arbitrary and capricious.[81] An agency must consider the relationship between its chosen means and its stated ends; one that imposes a fitness license on an entire trade in the name of stopping fraud, while its own studies show the fraud running untouched around the license and its filters freezing the innocent instead, has not.

Thus the fraud-prevention rationale, taken at full strength and tested against the agency's own evidence, collapses. The suitability regime does not catch the fraud it invokes; the filters that face the fraud catch the compliant taxpayer instead; and the professional, screened and admitted, is left to pay for a protection that is not being provided. Concede the agency its purpose, and the regime still fails — which means the purpose cannot save the authority. That is the point this Part secures for the one that follows.

VIII. The Procedural-Due-Process Thread — Distinguished, and the Gap It Leaves

A reader familiar with the small body of EFIN litigation may object that the courts have already looked at suitability screening and let it stand. They have looked — but at a different question, and the difference is the opening this Article occupies. The reported challenges to the IRS's electronic-filing sanctions run, almost without exception, on *procedural* due process and property-interest theories: a provider whose EFIN has been suspended argues that the credential

81 *See Dep't of Homeland Sec. v. Regents of the Univ. of Cal.*, 140 S. Ct. 1891, 1913 (2020); *Encino Motorcars, LLC v. Navarro*, 579 U.S. 211, 221 (2016); *FCC v. Fox Television Stations, Inc.*, 556 U.S. 502, 515 (2009); *see infra* Part V (developing the APA-arbitrariness theory in full).

is a constitutionally protected property interest of which the agency deprived him without adequate process.[82] The most recent and most thorough of these decisions, *Zirin Tax Co. v. United States*, rejected exactly that claim — and the *ground* on which it rejected it is this Article's point. The suspended providers there argued, tellingly, that the ability to e-file is "a *de facto* business license," and that I.R.C. § 6011(e)(3)'s e-filing mandate — by compelling them to e-file — supplied the entitlement that made the EFIN constitutionally protected property.[83] The Eastern District of New York dismissed the complaint. It held that the providers had no protected property interest in their EFINs, because the IRS's suitability-based discretion to grant, deny, and revoke participation is too broad to support any "legitimate claim of entitlement"; and it specifically rejected the contention that the e-file mandate "confers a legitimate claim of entitlement" of its own.[84] A parallel decision in the Western District of Washington reached the

82 The challenge typically proceeds under the Fifth Amendment's Due Process Clause and the Administrative Procedure Act, contending that the EFIN is a protected property interest and that the suspension lacked adequate process. *See Zirin Tax Co. v. United States*, *infra* note [^VIII2]; *see also* IRM 8.7.13 (e-file program appeals); IRS, Pub. 3112, at 20–22 (2023) (administrative review and appeal of sanctions).

83 *Zirin Tax Co. v. United States*, No. 24-cv-01511 (NCM)(MMH), 2025 WL 2932757, at *3, 136 A.F.T.R.2d 2025-6245 (E.D.N.Y. Oct. 15, 2025) (Merle, J.) (recounting plaintiffs' contentions that the ability to e-file is "a de facto business license" (quoting Compl. ¶ 65) and that § 6011(e)(3)'s e-filing mandate "restrains the IRS's discretion to revoke an EFIN" and so renders the EFIN "a business license that is subject to constitutional due process protection").

84 *Id.* at 3–6 (granting the United States' motion to dismiss under Fed. R. Civ. P. 12(b)(1) and 12(b)(6); holding that plaintiffs had no constitutionally protected property interest in their EFINs

same result on the same reasoning the same year.[85] No property interest, no due-process violation, no APA violation — case closed.

Notice what those decisions did *not* decide. *Zirin* resolved the case on the property-interest question — whether a preparer holds a constitutionally protected entitlement in an EFIN — and answered no, because the agency's discretion to deny participation on suitability grounds is too broad for entitlement.[86] It never asked whether the IRS has *authority* to impose a fitness screen on a now-compulsory channel; *Loving* and 31 U.S.C. § 330 appear nowhere in the opinion. The court did engage the mandate, but only to defeat an occupational-liberty theory, observing that the plaintiffs could "continue in the tax preparation business — albeit through more burdensome

---

because, under *Ace Partners, LLC v. Town of East Hartford*, 883 F.3d 190, 195 (2d Cir. 2018), an entitlement exists only where agency discretion is "so narrowly circumscribed that approval of a proper application is virtually assured," and the IRS's suitability-based discretion under Publication 3112 and Rev. Proc. 2007-40 is not so circumscribed; and rejecting the argument that § 6011(e)(3) "confers a legitimate claim of entitlement"). The plaintiffs' earlier motion for a preliminary injunction was likewise denied. *Zirin Tax Co. v. United States*, 2024 WL 2882609 (E.D.N.Y. June 7, 2024).

85 *See Manavalan v. United States*, No. 24-cv-01829 (W.D. Wash. July 23, 2025) (granting the IRS's motion to dismiss APA and Fifth Amendment due-process claims arising from EFIN revocation and expulsion from the e-file program, and holding that the plaintiffs "have no such interest" — i.e., no protected property interest — in their EFINs), *quoted in Zirin*, 2025 WL 2932757, at *1*, 7.

86 *Zirin*, 2025 WL 2932757, at *5*–6.

means — even without the ability to e-file: filing returns by mail."[87] That observation answers a *complete-prohibition* test borrowed from occupational-liberty doctrine; it does not touch the question this Article presses, which is not whether the preparer is wholly shut out of her trade but whether the IRS possessed the authority to screen her fitness as the price of the channel Congress made mandatory. A procedural-due-process claim concedes, by its very structure, that the agency possesses the substantive power it is exercising and quarrels only with the manner of its exercise; a property-interest holding like *Zirin*'s rests on the breadth of the agency's discretion, not on whether the agency may wield that discretion at all. No amount of process — and no finding that the preparer can fall back on paper — can cure a deprivation the agency had no authority to impose in the first place.[88] The litigation to date has been a quarrel about property labels and procedures atop an authority no one thought to challenge; this Article challenges the authority.

---

87 *Id.* at *6 (quoting the occupational-liberty standard of* Hu v. City of New York*, 927 F.3d 81, 102 (2d Cir. 2019), under which the right is implicated only by a "complete prohibition" on practicing one's profession, and observing that the plaintiffs had filed "hundreds of paper" returns after their EFINs were suspended). The fallback is more constrained than the court's aside suggests: a "specified tax return preparer" who mails returns to avoid the EFIN screen is, absent a waiver, violating the very e-file mandate of § 6011(e)(3) — so the "file by mail" escape from the suitability screen is itself, for most preparers, a path out of compliance. That tension is the subject of Part III.

88 *See supra* Part III (the optional-to-mandatory transformation removes the "privilege" premise on which both the suitability regime and decisions like *Zirin* rest, and reframes as a *necessity* what those decisions treat as a discretionary benefit).

The gap is not that the courts considered the question and answered it. It is that the question has not been put.

There is a tactical lesson in that posture as well. A challenger who frames an EFIN suspension solely as a process failure invites the court to weigh the adequacy of the agency's hearing — a fact-bound inquiry the government often wins. A challenger who frames it as a *Loving* authority defect asks a pure question of law on which, after *Loper Bright*, the court owes the agency no deference. The second framing is not only sounder; it is the stronger litigating position, and its absence from the reported cases is the measure of how thoroughly the authority question has been overlooked.

IX. The Remedy: Sever the License, Keep the System

The remedy this Article urges is surgical, not destructive. An electronic filing system genuinely requires certain controls, and nothing here would strip them away. The IRS may verify the identity of the entity transmitting a return; it may require that filing software conform to its technical specifications; it may impose and enforce the security controls that protect taxpayer data moving through its systems. Those functions go to the integrity of the *system*, and they would be just as necessary whether filing were voluntary or compulsory. They survive as ordinary system administration — the genuine residue of the access-control rationale with which the regime began.[89]

What cannot survive is the fitness *license* bundled in with those functions: the criminal-history screen, the credit inquiry, and the adjudication of an applicant's professional "ethics" in return

89 *See* IRS, *IRS e-file Application and Participation*, Pub. 3112, at 5–8 (2023) (identity-verification, technical-conformance, and security requirements distinct from the suitability check).

preparation.[90] Those components do not protect the system; they judge the person, on criteria that are the stuff of occupational licensing and that bear on character rather than on the security of a data transmission. They are severable from the legitimate controls — the IRS already treats software developers, who pose the gravest systems risk, as exempt from them, which proves the fitness screen is not integral to system security[91] — and severed, they fall as the unauthorized licensing of a trade Congress left to itself.

The larger point is institutional, and it returns to where *Loving* left the matter. If the United States wants to regulate the fitness of tax return preparers — and there are respectable arguments that it should[92] — the path is open and it is well marked: Congress can amend 31 U.S.C. § 330, or legislate a preparer-regulation regime directly, as bills introduced in nearly every Congress since *Loving* have proposed.[93] What the IRS may not do is supply the authority Congress has

---

90 *Id.* at 8–9 (criminal-background, credit, and tax-compliance components; "unethical practices in return preparation" as a ground for denial).

91 *Id.* (software-developer-only applicants exempt from the suitability check); *see supra* Parts II.C, IV.B.

92 *See, e.g.*, Linda Galler & Jay A. Soled, *AI and the Regulation of Tax Return Preparers*, 28 Fla. Tax Rev. 1 (2024); Jay A. Soled & Kathleen DeLaney Thomas, *Regulating Tax Return Preparation*, 58 B.C. L. Rev. 151 (2017). This Article takes no position on whether preparer fitness regulation is wise — only on who may impose it.

93 *See, e.g.*, Taxpayer Protection and Preparer Proficiency Act, H.R. 4184, 117th Cong. (2021); S. 1192, 116th Cong. (2019); S. 137, 114th Cong. (2015) (proposing to amend 31 U.S.C. § 330 to authorize regulation of return preparation); *see also* Galler & Soled, *supra* note [^IX4], at 42–43 & n.181 (collecting the recurring bills).

withheld by routing a fitness license through a mandatory information-technology system, so that a power denied at the front door of Circular 230 re-enters through the back door of the e-file application. *Loving* told the agency a decade ago that the remedy for the regulatory gap "is for Congress, not [the] IRS."[94] That instruction governs the suitability regime no less than it governed Circular 230.

X. Conclusion

Two people stand at the same line, turned away in opposite directions. One is a taxpayer who signed an amended return with digital initials the IRS "could have accepted . . . but chose not to," refused because the agency would not honor the electronic signature Congress in I.R.C. § 6061(b) commanded it to accept.[95] The other is a competent preparer barred from her trade by a fitness screen the IRS was never authorized to impose. The first is the casualty of the agency doing too little; the second, of its doing too much. But they are casualties of a single error — the agency's refusal to keep the line, drawn by *Loving* and legislated by Congress, between *filing* a return and *practicing* before the Department.

This Article has argued that the fitness components of the electronic-filing suitability regime crossed that line the moment electronic filing became mandatory. A character-and-fitness screen on a voluntary system is access control; the same screen on the sole lawful channel for a trade is a license to practice it — the authority *Loving* holds the IRS lacks, the authority *Loper Bright* leaves no deference to manufacture, and the authority the agency itself declined to defend when it walked away from the one suit that put the question to it. The fraud-prevention rationale

94 *Loving v. IRS*, 742 F.3d 1013, 1022 (D.C. Cir. 2014).

95 *See* [Richard Barnes,] *A Mandate Without a Remedy* [forthcoming] (recounting *Mills v. United States* and the § 6061(b) signature mandate); I.R.C. § 6061(b).

cannot save the screen, because the fraud runs around it; the reliance the system induced makes its silent expansion arbitrary; and the remedy is to sever the license from the system and leave the agency the controls a filing system actually needs. The rest is for Congress. *Loving* said as much, and the agency, screening at one end of the line while it withholds at the other, has spent a decade declining to listen.
